

July 29, 2026 GMT+8

Timing note: Hedgeye publishes on US Eastern time; this reader is on GMT+8. "Today's Publications" below cover Hedgeye's most recent publishing session (Tuesday, July 28 EDT), which reached GMT+8 readers Tuesday evening through the early hours of Wednesday, July 29. "Yesterday's Publications" cover the Monday, July 27 EDT session.

EARLY LOOK

Early Look - Keith McCullough - 07/28/26 07:31 AM EDT

The **#Quad3** process, KM argues, adapted early and mechanically. Exiting semis/**DRAM** "on time" was one of the most important risk-management moves: **Dr. KOSPI** is now **crashing ~34% from its cycle peak**, down another **-10.8%** this morning, and Hedgeye is **short South Korea via EWY**. The same process got the book out of Japan before the **Nikkei's -4% overnight drop** (now a **-14% drawdown**).

Investment implication: this is a rotation, not a market-wide capitulation. Reward accrues to investors who follow the Signals into Quad 3 winners (Healthcare, REITs, Insurance, Utilities, Dividends) and stop bag-holding the crowded, breaking-down momentum complex.

Risk Range Signals - Early Look, "No Mo Bag-holding" (07/28/26)

Asset	Risk Range	TREND
UST 10Y Yield	4.55 - 4.72	Bullish
High Yield (HYG)	79.01 - 79.68	Bearish
Investment Grade (LQD)	105.7 - 107.4	Bearish
S&P 500 (SPX)	7,350 - 7,555	Bullish
Nasdaq Comp (COMPQ)	24,612 - 25,757	Bearish
Russell 2000 (RUT)	2,914 - 2,990	Bullish
Technology (XLK)	170 - 181	Bearish
Health Care (XLV)	158 - 165	Bullish
Utilities (XLU)	45.01 - 46.80	Bullish
Real Estate (XLRE)	44.81 - 46.14	Bullish
Volatility (VIX)	15.57 - 20.27	Neutral
US Dollar (USD)	100.90 - 101.98	Bullish
WTI Crude Oil	75.09 - 92.09	Neutral
Natural Gas	2.65 - 2.97	Bearish
Gold	3,952 - 4,121	Bearish
Copper	6.11 - 6.55	Bullish
Silver	54 - 59	Bearish

THE MACRO SHOW

Summary Notes | Tuesday, July 28th, 2026

The Macro Show Summary Notes - R. Patrick Kent & Daryl Jones - 07/28/26 10:20 AM EDT

Positioning called out on the show - **Bullish:** Health Care (XLV), Real Estate (XLRE), Insurance (IAK), U.S. Dollar (USD), Copper (CPER), Wheat (WEAT). **Bearish:** South Korea (EWY), Technology (XLK), Meme Stocks (MEME), Tech Momentum (PTF), Future Vehicles & Tech (CARZ).

R. Patrick Kent stressed that the Signal prevented further damage in semis: exposure was cut to minimum sizing when names broke TRADE, then fully exited when TREND failed - and the bounce never restored Bullish TRADE or TREND. **KOSPI fell another 10.8% (~34% below cycle peak)**, driven by DRAM and the leveraged semi complex; the book remains short **EWY**. Kent flagged a structural worry: a newly public **Chinese memory producer** now has access to capital, and China has rarely entered a commodity industry without damaging its economics.

On **Oil**, the stance is closer to neutral than aggressively short despite the Bearish TRADE/TREND flip (WTI ~\$81, oil vol ~60): elevated volatility drives violent intraday reversals. Kent framed oil as a multivariate problem - geopolitics, the **Strait of Hormuz**, supply, demand destruction and inventories - and noted China drew down large onshore inventories while U.S. SPR and Cushing stocks sit near multidecade lows.

Beneath a flat index, breadth is improving: Tech and Energy fell but **~64-65% of the S&P 500 advanced**, with Tech's weight masking gains elsewhere. Single-stock vol has run **~3x** index vol in 2026 (vs. a 1.5-2x norm), so the tape can look calm while industries crash and rally beneath it. Kent tied the rotation to **slower global dollar liquidity** (growth cooling from **~12-13%** earlier in 2026 toward/below nominal GDP), which forces investors to sell one asset to buy another - unwinding the concentrated AI/semi trade into equal-weight, smaller-caps and defensives.

The macro regime is shifting from **Quad 4** toward **Quad 3**: the probability of an August Monthly Quad 3 rose from **~25% to 33% to 51%**, supporting a stable **Bullish U.S. dollar** view and the risk of earlier Fed tightening. Kent likened the extreme YTD sector divergence to the late-1990s tech bubble and reiterated portfolio-construction discipline: **~45-65 positions**, at least **300-400bps of idiosyncratic tracking risk**, diversifying *risks* rather than tickers.

MOMO TRACKER

Bag7 (-0.2%), NVDA (-5%)=BEARISH, AAPL=lone BULLISH TREND

Momentum Stock Tracker - Christian Drake & Ryan Ricci - 07/28/26 08:02 AM EDT

The momentum unwind broadened. The **#Bag7** basket slipped **-0.2%**, dragged by **NVDA -5%**, which flipped to **BEARISH TREND** - leaving **Apple (AAPL)** as the lone **BULLISH TREND** name in the group. 'Mo' Momo' continues to unwind as leadership drains out of mega-cap Tech, and the **KOSPI crash continues** in sympathy with the DRAM/semiconductor complex.

The read-through reinforces the Early Look and Macro Show: the crowded, high-beta momentum trade is no longer confirming, and the Signals point risk-takers toward the defensively-tilted Quad 3 leaders.

CAPITAL ALLOCATION PRO

Daily Dashboard | Model Portfolios

Capital Allocation Pro - HAM (McGroarty / Nanai / Salem) - 07/28/26 09:25 AM EDT

Housekeeping day for the Hedgeye Asset Management Model Portfolios: catalogued changes go into effect using **closing prices on Friday, July 24th, 2026**. Trend and Tail levels for the **68 ETFs** are maintained on the standard 3-4 week refresh cycle, and the team reiterated its "pull vs. push" philosophy - emails are sent only when the research demands immediate attention. A July **Key Callouts** video is pending. No urgent, market-moving allocation change was flagged in the dashboard text itself.

SIGNAL STRENGTH STOCKS

68 Stocks (2 Added, 1 Removed)

Signal Strength Stocks - 07/28/26 01:26 PM EDT (overnight for GMT+8 readers)

The weekly quant stock screen expanded to **68 names**. **Added: CVX, SXT**. **Removed: RSI**. The Chevron (CVX) and Sensient (SXT) additions sit consistent with the broadening, value- and defensive-leaning rotation the rest of the day's research describes. This was the single item that crossed midnight into Wednesday, July 29 GMT+8.

OTHER RESEARCH

ETF & Crypto Notes

ETF Pro Plus, Bitcoin Trend Tracker & Digital Assets - 07/28/26 (AM EDT)

ETF Pro Plus logged **4 new ETF Pro changes**, consistent with the ongoing Quad 3 rotation into defensives and away from Tech. **Crypto Quant / Bitcoin Trend Tracker** flagged **BTC -2.4%** with **ETH/ETHA = NEUTRAL**, ETF and institutional staking flows, rising chain activity but falling chain revenue. **Digital Assets** moved **Ethereum (ETH)** from the **Short Bench** to the **Long Bench** in its position monitor and published its Weekly Exchange Tracker.

Yesterday's Publications - Hedgeye Session of Monday, July 27 (EDT)

EARLY LOOK

Walking the Tightrope

Early Look - Matthew Cooper - 07/27/26 07:55 AM EDT

What	Matthew Cooper's Macro Monday note frames Quad 3 as a regime where stocks, bonds, yields and oil can flip direction day-to-day yet the regime holds - invoking Jack Nicklaus on "playing through the rain."
Why	In Quad 3, stocks and bonds stop diversifying and correlate positively, with Oil the switch that flips the sign on everything . Brent broke above \$100 before reversing; positioning is still light and the front end signals the Fed's next move may be higher .
Who	Fed under Kevin Warsh ; megacap earnings on deck (MSFT/META Wed, AAPL/AMZN Thu , all Bearish TREND except AAPL); Quad 3 winners Energy (XLE), Utilities (XLU), REITs (XLRE) vs. laggards Tech (XLK), Consumer Discretionary (XLY) .

Key numbers	WTI +9.2% w/w to \$89.31 and +28.9% MTD ; OVX 68 ; UST 2Y +15bps to 4.34%, 10Y 4.68% ; hike odds ~ 36% Wednesday; XLK -7.7% MTD despite Tech earnings growth +189.7% ; Korea -23.7% MTD ; High Beta -5.2% vs. Low Beta +3.7% .
Takeaway	"Walk the tightrope" by following the Signal: the Quad 3 allocation (Utilities, Energy, REITs) is generating alpha even as stocks and bonds move together. Good earnings are not the catalyst this season.

Risk Range Signals - Early Look, "Walking the Tightrope" (07/27/26)

Asset	Risk Range	TREND
UST 10Y Yield	4.55 - 4.71	Bullish
High Yield (HYG)	79.00 - 79.68	Neutral
Investment Grade (LQD)	106.1 - 107.5	Bearish
S&P 500 (SPX)	7,385 - 7,599	Bullish
Nasdaq Comp (COMPQ)	24,819 - 25,808	Bearish
Russell 2000 (RUT)	2,922 - 3,000	Bullish
Technology (XLK)	171 - 183	Bearish
Health Care (XLV)	158 - 165	Bullish
Utilities (XLU)	45.00 - 46.91	Bullish
Real Estate (XLRE)	45.01 - 46.44	Bullish
Volatility (VIX)	15.12 - 19.40	Bearish
US Dollar (USD)	100.46 - 101.51	Bullish
WTI Crude Oil	80.20 - 92.18	Bullish
Natural Gas	2.70 - 2.99	Bearish
Gold	3,963 - 4,162	Bearish
Copper	6.18 - 6.55	Bullish
Silver	54 - 61	Bearish

THE MACRO SHOW

Summary Notes | Monday, July 27th, 2026

The Macro Show Summary Notes - Matt Cooper & Daryl Jones - 07/27/26 10:23 AM EDT

What	The market's rate signal points toward higher policy rates; Tech and the Magnificent Seven break down while Quad 3 leadership (Energy, Utilities, Real Estate) takes over.
Why	The 2Y yield sits ~70bps above effective fed funds with real yields at cycle highs - last seen in the 2021-22 hiking cycle. Under Warsh's market-guided approach, the short end is signaling tightening. AI capex is increasingly debt-funded and no longer rewarded.
Who	Bullish: UST Yields, Oil/WTI, AAPL, NVDA, XLV, XLU, XLRE, XLE, USD. Bearish: Nasdaq-100 (QQQ), Technology (XLK), Investment-Grade Credit (LQD). Only AAPL and NVDA remain bullish of the seven megacaps.
Key numbers	August Quad 3 odds ~ 50% ; Energy +12.3% MTD , REITs +4.4% , Utilities +2.1% ; July inflation nowcast revised up to 3.48% ; HYG to Neutral, LQD to Bearish; >20% of homeowners now hold mortgages above 6% (vs. ~5% eight years ago); existing-home sales ~ 4.1M .
Takeaway	"Patience is a position." Fade short-term risk ranges, buy assets holding Bullish TREND, and concentrate in Quad 3 sectors or stay unallocated - the 60/40 mix offers less protection as stocks and bonds fall together. Housing is a research theme awaiting lower rates.

MOMO TRACKER

7 of 9 (& Nasdaq/QQQ) = Bearish TREND

Momentum Stock Tracker - 07/27/26 09:16 AM EDT

What	Momentum breadth deteriorated: 7 of 9 tracked megacap/momentum names - plus the Nasdaq/QQQ - sat in Bearish TREND .
Why	The high-beta, AI/semi leadership that drove 2025 is de-rating as yields back up and credit widens; the Signals confirm the regime change.
Who	The Magnificent Seven complex and the Nasdaq-100; only two names (AAPL, NVDA at the time) held bullish setups.
Key numbers	8 of 9 risk ranges showed Upside > Downside; 4 Bag7 earnings were queued for the week.
Takeaway	With most momentum names bearish but risk ranges skewed to upside into earnings, the tape favored patience over chasing - consistent with the Quad 3 rotation.

SIGNAL STRENGTH STOCKS

67 Stocks (5 Added, 1 Removed)

Signal Strength Stocks - 07/27/26 09:13-11:40 AM EDT

What	The quant stock screen grew to 67 names after a mid-morning update (an earlier reading held flat at 63, 0 added / 0 removed).
Why	New additions skew toward defensives, staples and value - the profile that Quad 3 rewards.
Who	Added: T, XOM, JBS, CRON, SMG. Telecom (T), Energy (XOM), food (JBS) and consumer/ag (CRON, SMG) names.
Key numbers	Net +4 names week-over-week within the screen.
Takeaway	The screen's tilt reinforces the rotation into cash-flowing, lower-beta, inflation-resilient equities.

OTHER RESEARCH

Allocation, ETF & Crypto Notes

Capital Allocation Pro, ETF Pro Plus & Crypto Quant - 07/27/26 (AM EDT)

What	Supporting notes: Capital Allocation Pro Daily Dashboard, ETF Pro Plus, and the Bitcoin Trend Tracker / Crypto Quant.
Why	Round out positioning across model portfolios, ETFs and digital assets alongside the macro call.
Who	HAM Model Portfolios; ETF Pro; crypto complex (BTC, ETH/ETHA, BLOK).
Key numbers	ETF Pro: 1 new change. Crypto Quant: BTC +1%, ETH +5.2%, ETH/ETHA = Bullish, BLOK = Bearish, ETF flows +\$135M W/W , cost-basis ~\$82.7k .
Takeaway	Crypto showed relative strength in ETH even as the broader risk backdrop stayed defensive; ETF and allocation tweaks were incremental, not urgent.